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Implement a Robust and Effective Supplier Performance Improvement Process to Mitigate Supply Chain Risks

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Abstract

Suppliers are invaluable partners in mitigating supply chain risks. By partnering with suppliers and implementing a robust and effective supplier performance improvement process, businesses can streamline their supply chains, reduce risks, achieve goals, and benefit from stronger supplier partnerships. This process can be applied to all types of suppliers, but Pareto Law (80-20 Rule) can be applied to maximize the benefit with optimized efforts.

This paper presents a simple process for an effective Supplier Performance Improvement Process aimed at mitigating supply chain risks. The process is triggered based on performance ratings (evaluation of supplier performance and arriving at the ratings is excluded from the scope of this paper) and then following the process through a Supplier Performance Improvement Form.

By Implementing this process, organizations can proactively manage supplier risks, safeguard operational continuity, and foster mutually beneficial partnerships. The significant benefits outlines are minimized disruptions, cost savings, stronger supplier relationships, reduced risk, and enhanced reputation.

Ther existing literature available on Supplier Performance and improvement is mostly for manufacturing industry and do not propose a unified approach for other types of industries and they rarely suggest how to engage suppliers effectively. This paper provides clarity on the subject and a simple approach along with a well-developed form to steer the process seamlessly.

Understand Business Needs

Before anything else, it is important to have a clear understanding of the business needs, as this should decide the approach being taken for improvement. Without a clear understanding, there is a greater chance that decisions will be made which are less effective and risk wasting resources such as time, effort, and money. To improve poor supplier performance, it is important to clearly define what aspect of improvement you are seeking before putting plans in place (Tips To Improve Poor Supplier Performance).

Conduct a needs analysis to determine areas for improvement in the supply chain and supplier relationships. A thorough needs analysis can help to determine:

- Risks in the current supply chain: Determine what risks the suppliers pose to company operations and business goals. Establish security minimums that focus on reducing these risks.
- KPIs and metrics to evaluate suppliers: KPIs are helpful tools for assessing whether the suppliers are meeting the company's needs. Determine what metrics are required to gather to assess their performance.

How to Improve The Performance of Suppliers

Having a supplier performance improvement plan is about developing strong partnerships as much as it is about tracking key performance indicators (KPIs). Monitoring suppliers' performance is an essential piece of the puzzle in improving performance, but it is only one piece. Businesses need effective strategies for managing their supplier relationships that can proactively grow their partnerships, align their business goals, and result in mutual success ([How to Improve the Performance of Your Suppliers, 2023](#)).

The first step in improving supplier performance is to have a clear vision for the improvement's needs and its alignment with the business objectives and strategies.

Prioritize the Supplier List

Think about the Suppliers that business purchase from the most. These particularly strategic suppliers offer business the most value but also contribute to the greatest amount of risk. Any disruption in a primary supplier can have devastating effects on the supply chain.

For this reason, have the Supplier Performance Improvement program focuses as much effort as proportional to the supplier's importance to the business.

Decide on a Framework

Supplier performance improvement can be seen through various lenses. These frameworks are the guidelines that allow to remaster supplier relationships and get more value out of the partnerships.

- Operational performance: This framework looks at how the supplier contributes to your internal operations directly. Does its past performance look in-line with predefined expectations? And are the transactions made with the supplier under acceptable standards?
- Relational performance: As its name suggests, a relational framework finds ways to nurture and develop the client- supplier relationship. Unlike operational performance, this one looks at present performance and gets teams from both sides to agree on common objectives and goals.
- Transformational performance: What does the future of the relationship with this supplier look like? This framework requires clients to work cohesively with the suppliers to develop innovative solutions and policies to enforce transformational changes.

All these frameworks to some extent can be used when managing the supplier list. Any combination of these mindsets is bound to result in tangible improvements to procurement processes.

Supplier Performance Improvement Trigger Points

The trigger points for Supplier Performance Improvement process need to be established for providing the rational for the need for improvement and for the operational clarity. The trigger can be supplier performance issues/gaps which necessitate initiation of improvement process or performance rating/scores going below a threshold. The evaluation of supplier performance, score cards and arriving at the ratings is excluded from the scope of this paper. However, as an example, Performance Rating Classification is included as [Table 1](#). (Assigning different ratings to different ranges of scores is quite arbitrary and in fact depends on the multitude of factors such as score card elements description, formula, tehri weightage; scoring methods; ease of achieving a particular score etc.)

Table 1—Supplier Performance Rating Classification

PERFORMANCE RATING CLASSIFICATION			
RATING	SCORE	DESCRIPTION	Colour Code
Excellent	$90 \leq \text{Score} \leq 100$	Supplier exceeded expectations	
Good	$70 \leq \text{Score} < 90$	Supplier met expectations	
Satisfactory	$50 \leq \text{Score} < 70$	Suppliers work acceptable	
Need Improvement	$\text{Score} < 50$	Supplier work need improvement	

Stakeholders Of Supplier Performance Improvement

Any department engaged with the Supplier for procurement processes (collaborating, tendering, contracting, etc.) or the execution of work and has any issue with the any of the supplier or can add value being the part of the improvement process can be considered as a stakeholder. Some typical stakeholders are:

- i. Supplier Performance Management
- ii. Buer/Contract
- iii. Project or end-user
- iv. HSE (if issues are related to HSE)
- v. Compliance (if issues are related to compliance)
- vi. Any other department concerned

Once all the concerned or interested stakeholders are mapped/decided, the selection of the owner/custodian of the supplier improvement process and the stakeholder who will verify the outcome of the improvement process should be made. Owner/custodian of the supplier improvement process:

The Supplier Performance Management Team is considered as the most suitable stakeholder for this role, but it can be any stakeholder who can be more effective. This role requires overall ownership and stewardship of the improvement process. Overseeing all the aspects of the process with respect to timely completion, coordination, communication, fairness, and effectiveness of the process.

Verifying stakeholder for Outcome of improvement:

The stakeholder who has reported the performance gaps is most of the time the suitable stakeholder for this role, but it can be any stakeholder, especially the technical end-user can be suitable alternate. This role requires monitoring of the progress of improvement actions, and most importantly the final decision whether the Supplier Improvement Action Plan is Met or Not.

Supplier Performance Improvement Process

Supplier Improvement process flow is explained in [Figure 1](#) as below:

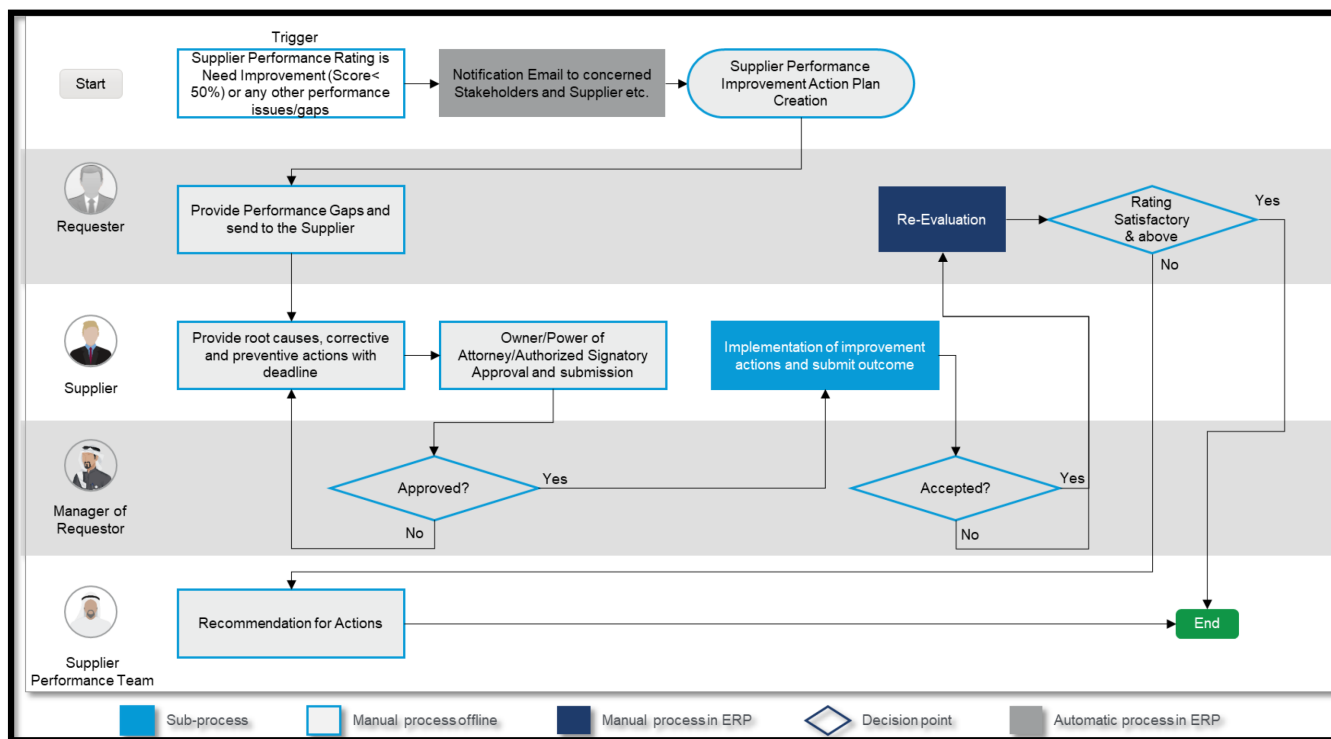


Figure 1—Supplier Improvement Process Flowchart

Supplier Improvement process should include the following steps:

Supplier's Performance Gaps

All performance gaps including the gaps as communicated earlier to the Supplier or provided in the performance report (if a report is already completed or in process) to be listed. This list needs to be duly reviewed and endorsed by the Company's (client) management as these will become foundation of the improvement process, this is the first control point of the process. Any errors, incompleteness or changes will weaken the authenticity of the improvement process and will impact its effectiveness. This part is included as section 1 in the Supplier Performance Improvement Form which is included as Appendix 1. This section must be completed by the Company (client). From internal stakeholders' points of view this section will be completed by the stakeholder who is reporting the performance gaps. Once this section is completed the reporting stakeholder will forward the form to the Supplier Performance Management Team who will:

- i. Identify the stakeholders to be included in the process in consultation with the reporting stakeholder.
- ii. Analyze the gravity and impact of the performance gaps and form a strategy as how to approach in consultation with all concerned stakeholders, if required convene a short alignment meeting/call.
- iii. Communicate all the performance gaps to the Supplier's management to review and assign a focal point from their side. Focal point must be the manager and above, should be available to attend meetings, engage with the Cline's Supplier Performance Team on this subject (understand fully the Company's expectations for Supplier Performance Improvement). All communications verbally or written should be done by the assigned focal point only.

Improvement Action Plan (IAP)

Supplier's focal point shall review the performance gaps along with their internal teams and if required will seek clarifications before submitting the Improvement Action Plan. If required a meeting can be arranged with the supplier and concerned stakeholders. This part is included as section 2 in the Supplier Performance

Improvement Form which is included as Appendix 1. This section to be completed by the Supplier by providing Root Causes, Corrective and Preventive Actions, Completion date for actions.

Root Cause: Real reason for the performance gaps

Corrective Actions: The actions to correct the performance gaps/ situation/ loss.

Preventive Actions (from Risk Based Thinking): The actions which will prevent the recurrence of performance gaps.

Deadline: Completion date for actions.

The Improvement Action Plan should be signed by Supplier's Owner/Power of Attorney/Authorized Signatory. There should be full clarity and accountability on the point that if improvement actions are not completed satisfactorily by the deadline, then the following measures (any or all) can be initiated:

- i. Audit of the Supplier's company and re-assessment of capabilities,
- ii. Limitation of selection for future tenders and POs/Contracts award,
- iii. Suspension/Disqualification from Clinet's Approved Bidders List for all or the specified Product/Work groups for future tenders.

Once a dully completed Improvement Action Plan is received from the Supplier, it should be verified and approved by the manager of the stakeholder who has reported the performance gaps.

Verification of Supplier's submitted Improvement Action Plan by the stakeholder concerned is especially important and is second control point because these are the actions which the Supplier will take to correct the effects of performance gaps and prevent their recurrence. After this step Supplier will proceed with the implementation of the corrective and preventive actions.

Most of the times implementation of the Improvement Action Plans happened while Suppliers are already working with the company but in some cases where a supplier is not working on the same or any other Purchase Order/Contract then the uncompleted actions can be frozen till next Purchase Order/Contract award. Freezing of the uncompleted actions of the Improvement Action Plan should be formally agreed with the Supplier and fully documented. The Supplier should complete the frozen actions prior to or at the start of the next Purchase Order/Contract. The Supplier should be made aware that any consecutive Need Improvement rating can result in actions against the Supplier.

Monitor improvements over time and Outcome of Improvement process

The supplier performance team and verifying stakeholders will monitor the progress of the Improvement Action Plan.

Ensure actions are complete as per agreed timeframe and that all parties have access to the relevant data when required.

Building positive relationships with suppliers can be useful here to ensure that open communication can take place.

Arrange regular meetings to discuss supplier progress and ensure that, should any discrepancies arise, evidence-based discussions can be held. Restricting these conversations to objective facts can help ensure that performance gaps are resolved/bridged without damaging relationships.

Once actions are completed the verifying stakeholder will assess the outcome of corrective and preventive actions with respect to their completeness and effectiveness against each identified gap. The Outcome of each Improvement Actions shall be rated as 'Partially Met' or 'Fully Met' or 'Not Met.' The Overall Outcome of all the actions shall be aggregated as Improvement Action Plan Met? Answer will be a 'Yes' or 'No.' There is no half outcome. This part is included as section 3 in the Supplier Performance Improvement Form which is included as Appendix 1.

If supplier Improvement Action Plan is Met, it means supplier has achieved its target and his performance needs to be restored to the satisfactory level. If supplier Improvement Action Plan is Not Met, it means

supplier has failed to achieve its target and the required correction or prevention has not been achieved and risks posed by such supplier to be mitigated.

The Outcome of Improvement process should be verified and approved by the manager of the verifying stakeholder. This is the last control point because either supplier performance will be restored to satisfactory level or further actions to mitigate the risks posed by this supplier will be initiated.

The risk mitigation actions against the supplier can be:

- i. Limitation of selection for future tenders and POs/Contracts award,
- ii. Suspension/Disqualification from Approved Bidders List for all or the specified Product/Work groups for future tenders.
- iii. Audit of the supplier, re-assessment of resources and capabilities, and root causes of issues in performance.
- iv. Any action on the current/running commitment (Purchase Order/Contract) must be taken by the buyer/contract or project team in accordance with their procedures and in line with contractual terms and conditions. Legal must be consulted in such actions.

Challenges for Suppliers

Suppliers may struggle to hit performance/improvement benchmarks for several reasons, including ([How to Improve the Performance of Your Suppliers, 2023](#)):

- **Technology Gaps:** Suppliers increasingly rely on technology to manage their complicated global supply chains. Solutions like electronic data interchange (EDI) allow suppliers to automate transactions and process them faster to accelerate fulfillment. Smaller suppliers may not have the capabilities to implement an EDI solution. This technology disparity can lead to inefficient processes and poor compliance with larger institutions' EDI requirements, making it difficult to scale.
- **Improper Inventory Management:** Inventory management is another significant supplier performance challenge. Effectively managing inventory is crucial to ensuring suppliers can fill out orders on time. Suppliers could experience issues such as improper inventory allocation or over-selling. Both situations can lead to stock-outs, reputational damage, and potentially lost sales or customers.
- **Manual Processes:** Relying on manual processes can create costly delays for suppliers. Manually processing orders and sending emails and faxes is time-consuming and often leads to errors. Manual processes can also cause difficulties in meeting timelines for acknowledgments, advance ship notices, and delivery. Yet smaller suppliers may not have the ability to implement effective automation solutions.
- **Inadequate Risk Management:** Failing to adequately manage that risk can put suppliers in an unhealthy relationship with clients. Suppliers may pose a risk in various areas, including production, finances, and cybersecurity. For example, suppliers with poor cybersecurity practices are vulnerable to hacking, leaving other partners open to cyberattacks through linked online accounts. A supplier might also pose a financial risk if it struggles to manage its supply chain cost-effectively.

Challenges for Clients

Clients can also face difficulties when trying to assess their suppliers' performance and improve their performance. Here are the most usual challenges ([How to Improve the Performance of Your Suppliers, 2023](#)):

- **Lack of a Supplier Relationship Management (SRM) strategy:** A Supplier Relationship Management strategy is a plan for managing supplier relationships to best align company's goals and mission-critical operations. Deficient performance and supply chain disruptions may impact on the company's expenses and reputation significantly. Creating a Supplier Relationship Management strategy helps monitor supplier performance and act proactively rather than reactively. Implementing an effective plan for managing relationships with suppliers also improves the chances of obtaining consistent results from suppliers and meeting business objectives.
- **Lack of Transaction Standardization:** Suppliers sending outdated file types for key order documents— like email, faxing, or spreadsheets - can overwhelm client's team and drag down their efficiency. Reconciling that data with information stored in client systems can also be time-consuming and create data riddled with errors.
- **Lack of Communication:** Sharing too little data with the suppliers or failing to share it promptly can cause operational inefficiencies. This lack of communication might disrupt the supply chain or result in unnecessary costs. A lack of collaboration can also lead to weakened supplier relationships. Communicating at every stage of the relationship helps build long-term partnerships that benefit both parties.

Benefits Of Effective Supplier Improvement Process

- **Minimized Supply Chain Disruptions:** With plans for continual supplier performance evaluation and improvement, clients can proactively manage supply chain disruptions before they escalate. ([How to Improve the Performance of Your Suppliers, 2023](#))
- **Increased Savings:** By collaborating with suppliers to analyze their performance metrics and utilizing improvement opportunities, clients may discover opportunities to cut unnecessary costs significantly.
- **Optimized Value Chains:** Enhancing the value chain through Supplier Relationship Management (SRM) enables them to determine opportunities for improved efficiency.
- **Long-Term Supplier Relationships:** Improving supplier performance could be an effective way to build long-term collaborative relationships that are mutually beneficial for both parties.
- **Reduced Risk:** improving supplier performance allows to mitigate the risk a supplier might pose in terms of costs, security, and the ultimate customer delivery promise.
- **Improved Reputation:** Tracking suppliers' performance metrics and engaging for improvement enables companies to correct processes before they impact customers and other partners.

Value Realization

The value created by Implementation of Effective Supplier Performance Improvement Process should be recorded by maintaining a register of each case as explained in [table 2](#) below:

Table 2—Value Realization

Name of Supplier	Impact	Situation Before	Situation After	Value Realisation
Supplier 1				
Supplier 2				
Supplier 3				
			Total US\$	

Conclusion

Supplier performance improvement plays a crucial role in supply chain risk management. Apart from the improvements in risks management and monetary benefit, supplier performance improvement bolsters the integrity of the supply chain. Yet only about a fifth of companies have a "proactive" approach to analyzing the risks beforehand and engaging the supplier for performance improvement or mitigating the risks. And even though suppliers' disruptions can cause significant financial, logistical, and reputational losses, 30% of companies do not even truly investigate these disruptions. (Cook, 2025)

If a robust and effective supplier performance improvement process is in place then the Supply Chain teams can ensure that suppliers' contracts are properly met, and any supplier that fails to meet expectations is removed from the approved bidder list before they cause problems. A focus on Supplier Performance Management and Improvement offers below tangible advantages to the supply chain (Cook, 2025):

- The primary risk related to suppliers is disruption in the goods and services provided. Effective Supplier Performance Management and Improvement process helps in identifying this risk and addressing it in advance to void such supply chain disruptions.
- Reducing unnecessary costs by tracking suppliers' key performance indicators KPIs and exploring collaborated opportunities for value addition and savings
- Segmenting suppliers as how well each supplier is adhering to requirements and meeting expectations which help in taking informed business decisions regarding where to spend the budget.
- Protecting brand reputation: If a supplier makes a mistake on its end, that mistake can translate into problems in client's products and services that client sells to final customers. Because those customers will blame the client for the issues, analyzing suppliers' performance directly improves client's own performance.
- Improving business relationships: Supplier Performance Management and Improvement gives knowledge that can be used to form more productive relationships with the suppliers. For instance, new contracts can be designed with past performance in mind. Effective communication with the supplier is possible during negotiations as well.

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Appendices

Appendix 1 Supplier Performance Improvement Form

Form No.:		<u>SUPPLIER PERFORMANCE IMPROVEMENT FORM</u>
Revision:		

SUPPLIER NAME and ID	
Agreement No.	

Note for Supplier: If improvement actions are not completed satisfactorily by the deadline, then measures (any or all) can be initiated: Audit of your company and re-assessment of capabilities, Limitation of selection for future tenders and POs/Contracts awards, Suspension from Approved Bidders List for all or the specified Product/Work groups for future awards.

1- **PERFORMANCE GAPS** *(This section to be completed by Agreement Owner)*

S/N	Performance Gaps
1	
2	
3	

Name	Title	Signature and Date
Prepared by Concerned Assignee		
Approved by Manager of Concerned Assignee		

2- **IMPROVEMENT ACTION PLAN (IAP)** *(This section to be completed by the Supplier)*

S/N of Performance Gaps	Improvement Action Plan			Deadline
	Root Cause	Corrective Actions	Preventive Actions	
1				
2				
3				

Name	Title	Signature and Date
Committed by Supplier's Owner/Power of Attorney/Authorized Signatory: <i>(before signing, read note for Supplier at the beginning of the form)</i>		
Approved by Manager of Concerned Assignee		

3- **OUTCOME OF IMPROVEMENT ACTION PLAN IMPLEMENTATION** *(To be completed by Concerned Assignee after deadline or completion of improvement actions.)*

S/N of Performance Gaps	Outcome of Improvement Actions			Overall Outcome, Improvement Action Plan Met?
	NOT MET	PARTIALLY MET	FULLY MET	
1	☐	☐	☐	Yes  No 
2	☐	☐	☐	
3	☐	☐	☐	

Name	Title	Signature and Date
Approved by Manager of Concerned Assignee		